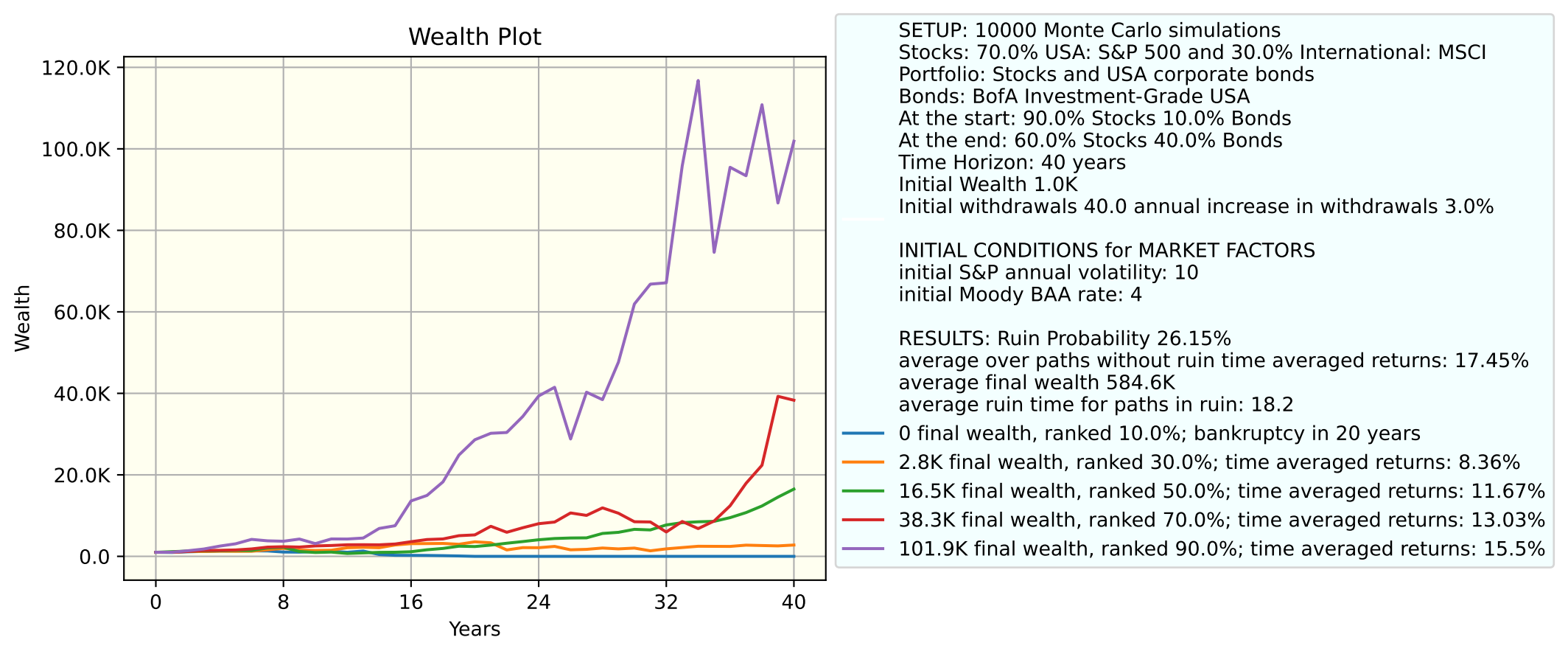
Wealth Plot
120.0K
100.0K
80.0K
60.0K
40.0K
20.0K
0.0
Wealth
0
8
16
24
32
40
Years
SETUP: 10000 Monte Carlo simulations
Stocks: 70.0% USA: S&P 500 and 30.0% International: MSCI
Portfolio: Stocks and USA corporate bonds
Bonds: BofA Investment-Grade USA
At the start: 90.0% Stocks 10.0% Bonds
At the end: 60.0% Stocks 40.0% Bonds
Time Horizon: 40 years
Initial Wealth 1.0K
Initial withdrawals 40.0 annual increase in withdrawals 3.0%
INITIAL CONDITIONS for MARKET FACTORS
initial S&P annual volatility: 10
initial Moody BAA rate: 4
RESULTS: Ruin Probability 26.15%
average over paths without ruin time averaged returns: 17.45%
average final wealth 584.6K
average ruin time for paths in ruin: 18.2
0 final wealth, ranked 10.0%; bankruptcy in 20 years
2.8K final wealth, ranked 30.0%; time averaged returns: 8.36%
16.5K final wealth, ranked 50.0%; time averaged returns: 11.67%
38.3K final wealth, ranked 70.0%; time averaged returns: 13.03%
101.9K final wealth, ranked 90.0%; time averaged returns: 15.5%